Lecture 16 (2026-08-01)

Quick Summary

The lecture transitions from individual and group dynamics to organizational-level structures. It emphasizes the move from informal to formal structures, and from centralized to decentralized decision-making. A key theme is the alignment between organizational structure and business strategy (e.g., a focus on service quality requires a corresponding focus on personnel management). The segment further explores the specific mechanisms of departmentalization, the distinction between efficiency and effectiveness, the transition from manufacturing-based specialization to knowledge-economy enrichment, and the role of boundary spanning. **The lecture also covers specific organizational archetypes—Simple, Bureaucracy, Matrix, and Virtual—each with distinct trade-offs regarding speed, cost, and coordination. It further explores "Team" and "Circular" structures as modern alternatives to traditional hierarchies. The lecture concludes by contrasting Mechanistic and Organic models based on specific strategic drivers like Innovation, Cost Minimization, and Imitation.**

Key Definitions

Virtual Organization: An organization that outsources a significant number of its activities (e.g., BPO, KPO) and may not own physical assets or offices, often operating with a "lean" or "downsized" model. Also referred to as a "network" or "modular" organization. It is typically highly centralized with little or no departmentalization. Because participants are often from different organizations, the focus is on "mutual understanding" and "interdependencies" rather than direct control. **[SCREENSHOT: shot_01-03-32.png] Exhibit 15-6 A Virtual Structure** - Executive group (Center) - Independent R&D consulting firm - Advertising agency - Commissioned sales representatives - Factories in South Korea

Work Specialization: The degree to which activities are subdivided into separate, specific jobs to ensure proficiency. * **The Productivity Curve**: Productivity increases with specialization up to a certain point (economies of specialization) but declines after that point due to "diseconomies" such as employee boredom, lack of engagement, and the "not my job" sentiment where employees refuse to help outside their narrow scope.

Departmentalization: The grouping of jobs based on specific criteria (e.g., function, product, geography, process, or customer). **[SCREENSHOT: shot_00-42-16.png] Organization Structure and Departmentalization:** - By functions performed. - By type of product or service the organization produces. - By geography or territory. - By process differences. - By type of customer.

Chain of Command: The reporting structure defining to whom individuals and groups report. While less relevant today due to technology (e.g., email CCs) and the trend of empowering people, it is still used as a "protocol" to keep everyone in the loop for decisions. **[SCREENSHOT: shot_00-43-24.png] Organization Structure:** - The chain of command is less relevant today because of technology and the trend of empowering people. - Operating employees make decisions once reserved for management. - Increased popularity of self-managed and cross-functional teams. - Many organizations still find that enforcing the chain of command is productive.

Span of Control: The number of individuals a manager can efficiently and effectively direct. This depends on the complexity of the situation. * **Example:** A "designing house" may have a smaller span (e.g., 4) to ensure close monitoring, while a "production unit" may have a larger span (e.g., 8) where tasks are simpler.

Centralization/Decentralization: The location of decision-making authority. * **Centralization**: Decision-making is concentrated at a single point (HQ). * **Decentralization**: Decision-making is distributed among managers or locations. **[SCREENSHOT: shot_00-46-23.png] Centralization and Decentralization in Organizational Structure:** - **Centralization**: Degree to which decision making is concentrated at a single point in the organization. - **Advantage of Decentralization**: - Faster decision making. - Increased employee ownership/involvement. - Less employee alienation (those affected by the decision are involved). - More effective solutions as those closest to the situation have the context.

Efficiency vs. Effectiveness: Effectiveness is meeting the objective; efficiency is meeting that objective using fewer resources.

Boundary Spanning: The role of individuals who interact with areas outside their own immediate department. * **Internal**: Communication across departments. * **External**: Interaction with outside entities (suppliers, gov, etc.). * **Synergy Rule**: External boundary spanning is most effective when followed up by internal boundary spanning. **[SCREENSHOT: shot_00-53-19.png] Organization Structure - Boundary Spanning:** - Boundary spanning occurs when individuals form relationships with people outside their formally assigned groups. - Positive results are especially strong in organizations that encourage extensive internal communication; in other words, external boundary spanning is most effective when it is followed up with internal boundary spanning.

Formalization: The extent to which jobs within an organization are standardized. * **High Formalization**: Means minimum employee discretion/freedom; used to ensure uniformity and efficiency (e.g., Standard Operating Procedures/SOPs). * **Low Formalization**: Job behaviors are relatively non-programmed; employees have a great deal of freedom. **[SCREENSHOT: shot_00-47-48.png] Organization Structure - Formalization:** - **Formalization**: the degree to which jobs within the organization are standardized. - A highly formalized job means a minimum amount of discretion. - Low formalization: job behaviors are relatively non-programmed, and employees have a great deal of freedom to exercise discretion in their work.

Simple Structure: A structure where the manager and the owner are one and the same. **[SCREENSHOT: shot_00-54-25.png] Organizational Structure Diagram:** - **Exhibit 15-4 A Simple Structure (Jack Gold's Men's Store)** - One owner-manager (Jack Gold) at the top. - Six employees (5 salespeople, 1 cashier).

Bureaucracy: A system characterized by standardization. **[SCREENSHOT: shot_00-55-15.png] Organization Structure - Bureaucracy:** - Highly routine operating tasks. - Very formalized rules and regulations. - Tasks grouped into functional departments. - Centralized authority. - Narrow spans of control. - Decision making that follows the chain of command.

[SCREENSHOT: shot_00-56-02.png] Strengths and Weaknesses of Bureaucracy: - **Strengths**: Ability to perform standardized activities in a highly efficient manner. - **Weaknesses**: Subunit conflicts, Unit goals dominate.

Matrix Structure: A combination of functional and product departmentalization. **[SHOT_01-00-33.png] Common Organizational Frameworks and Structures:** - Combines functional and product. - Strength of functional: putting specialists together. - Product departmentalization: facilitates coordination. - Result: Clear responsibility for all activities related to a product, but with duplication of activities and costs.

[SCREENSHOT: shot_00-58-29.png] Simple Structure (Continued): - **Strengths**: Simple, fast, flexible; Inexpensive to maintain; Accountability is clear. - **Weaknesses**: Difficult to maintain as the organization expands.

[SHOT_01-02-45.png] Alternate Design Options - Virtual Organization: - Essence: Small, core organization that outsources major business functions. - Also referred to as: modular or network organization. - Structure: Highly centralized, with little or no departmentalization.

Team Structure: A structure that eliminates the chain of command and replaces traditional departments with empowered teams. It removes vertical and horizontal boundaries, flattens the hierarchy, and minimizes status and rank issues. **[SCREENSHOT: shot_01-01-10.png] Organization Structure - Team Structure:** - Removes vertical and horizontal boundaries. - Flattens the organization. - Minimizes status and rank.

Circular Structure: A design where executives are at the center, with outward-radiating rings for managers, then specialists, and finally workers (grouped by function). **[SCREENSHOT: shot_01-04-42.png] [SCREENSHOT: shot_01-05-30.png] Organization Structure - Circular Design:** - **Pros**: High appeal for creative entrepreneurs. - **Cons**: Potential for employees to be confused regarding reporting lines. - **Trend**: Popularity is expected to increase.

Mechanistic Model: A structure characterized by high specialization, rigid departmentalization, clear lines of command, narrow span of control, centralization, and high formalization. Often associated with routine tasks and efficiency. **[SCREENSHOT: shot_01-36-01.png] Mechanistic vs. Organic Structural Models:** - **The Mechanistic Model**: High specialization, rigid departmentalization, clear lines of command, narrow scope of control, centralization, and high formalization. (Visual: Top-down hierarchy).

Organic Model: A structure characterized by cross-functional/cross-hierarchical teams, free flow of information, wider span of control, decentralization, and low formalization. Often associated with innovation and flexibility. **[SCREENSHOT: shot_01-36-01.png] Mechanistic vs. Organic Structural Models:** - **The Organic Model**: Cross-functional teams, cross-hierarchical teams, free flow of information, wide scope of control, decentralization, and low formalization. (Visual: Web-like network).

Downsizing: A pre-planned, systematic effort to improve agility, focus, or cost-cutting by selling off business units, locations, or reducing staff. **[SCREENSHOT: shot_01-33-39.png] Effects of Downsizing on Organizations and Employees:** - Strategies: Investment, Communication, Participation, Assistance. - Requirement: Must be handled carefully due to significant negative impacts on those remaining.

Environment (Institutional Influence): The context of external institutions or forces that impact performance. - **Dynamic Environment**: High uncertainty, requires broader structures to sense/respond to threats. - **Static Environment**: Lower uncertainty. - **Dimensions (Exhibit 15-9)**: Stable vs. Dynamic; Simple vs. Complex; Abundant vs. Scarce. **[SCREENSHOT: shot_01-43-05.png] Three-Dimensional Model of the Environment:** - Vertical Axis: Stable to Dynamic - Horizontal Axis: Simple to Complex - Depth Axis: Abundant to Scarce

Worked Examples

Work Specialization (The Plateau): * **Scenario**: A hospital employee with highly just specific training. * **Reasoning**: While specialization ensures high quality for a specific task, it can lead to "diseconomies." If an employee is too specialized, they may become bored or refuse to do anything outside their "zone," resulting in them sitting idle if their specific task isn't currently required.

Decision-Making (Timing): * **Scenario**: Managing a situation where an accident occurs or a high-pressure deadline is approaching. * **Reasoning**: Managers cannot wait for 100% of the information to make a "perfect" decision. Waiting for every piece of data results in missed opportunities.

Departmentalization (Real Estate Example): * **Scenario**: A real estate firm. * **Reasoning**: Organizing by "type of customer" or "use." One team handles commercial property (offices, retail) while another handles residential (apartments, homes). This allows for focused expertise on different regulations and client needs.

Boundary Spanning (Competitive Intelligence): * **Scenario**: A business development executive maintaining strong relationships with channel partners. * **Reasoning**: Because channel partners interact with multiple companies, they can provide "early news" about a competitor's moves. This is a prime example of external boundary spanning providing a competitive edge.

Decision-Making (Decentralization): * **Scenario**: A multi-location retail brand. * **Reasoning**: By decentralizing decisions to local managers, the company ensures that those "impacted" by the decision (the ones on the ground) are the ones making it. This leads to faster decisions and higher employee commitment because they aren't being directed by someone at a distance who doesn't understand the local context.

Formalization (The SOP Logic): * **Scenario**: A customer service script or a loan processing timeline (e.g., "24 to 48 hours"). * **Reasoning**: Standardizing the response time/script ensures the "correct" result is achieved the first time. It protects the company from variance and ensures that factors like "traffic" or "government approval" are pre-accounted for in the communication.

Span of Control (Scale Calculation): * **Scenario**: Comparing a "design_house" to a "production unit." * **Reasoning**: A designer needs high oversight (Span of 4). A production worker performs repetitive tasks and requires less oversight, allowing for a larger span (e.g., 8). * **The 4-Fold Rule**: The transition from 1 $\rightarrow$ 4 $\rightarrow$ 16 $\rightarrow$ 64 represents a 4-fold increase at each level of the hierarchy, demonstrating how the span of control expands as one moves from specialized roles toward production.

The Startup Model (Apple/Scale Example): * **Scenario**: A massive organization like Apple behaving as if it were a small startup. * **Reasoning**: By avoiding "committees" and "hierarchy" and instead running on "ideas," large companies can maintain high levels of innovation and speed. * **The Management Principle**: To retain top talent, manage by **ideas**, not by **hierarchy**. Allow employees to make their own decisions; only step in with "control" when essential for quality checks (e.g., the specific design of the iPhone's rear).

Strategic Differentiation (Amul vs. Google): * **Scenario**: Comparing a "creative" tech giant (Google) to a high-volume, perishable goods distributor (Amul). * **Reasoning**: * **Google (Organic Focus)**: High need for creativity, constant innovation, and ability to pivot. * **Amul (Mechanistic Focus)**: High risk of waste (perishable milk), low margins, and need for "clockwork" logistics. Amul requires a **Mechanistic** structure (high specialization, routine-oriented, strict process) because the business model demands strict adherence to timing and safety over creative freedom at every step.

Downsizing (Management Strategy): * **Scenario**: Implementing layoffs or merging bank entities to ensure cost efficiency and core focus. * **Reasoning**: Downsizing must be a **pre-planned, systematic effort**. While it improves agility, cuts costs, and helps focus the company on **core competencies**, it creates significant negative impacts on the morale and atmosphere for the employees who remain.

Formulas & Rules

The Alignment Rule: Organizational structure must be aligned with organizational strategy. * **Example**: If the strategy is "Quality Service," the structure must prioritize and support personnel management (training, staffing, etc.).

The Efficiency vs. Effectiveness Rule: * **Effectiveness**: Success in meeting the objective. * **Efficiency**: Success in meeting the objective while utilizing the minimum amount of resources.

The 7 Elements of Structure: 1. Work Specialization 2. Departmentalization 3. Chain of Command 4. Span of Control 5. Centralization/Decentralization 6. Formalization 7. [Contextual Framework]

Work Specialization Principles: Driven by: 1. Repetition, 2. Training, 3. Efficiency through invention.

Growth and Formalization Rule: As an organization grows from a small startup to a large corporation (MNCs), it must move from **informal** to **formal** structures for accountability, legal compliance, and managing a diverse workforce.

Decentralization Advantages: 1. **Speed**: Faster decisions at the point of need. 2. **Ownership**: Employees involved in decisions feel a higher sense of commitment. 3. **Context**: Those most affected by the decision are the ones making it, ensuring more accurate solutions.

Formalization/SOP Rule: The purpose of high formalization (SOPs) is to ensure "Correctness at the first time." By standardizing, the organization avoids the "trial and error" of employees experimenting with methods that were already solved in the past.

Span of Control Calculation: * **Low Complexity (Production)**: Larger span (e.g., 8). * **High Complexity (Design/Specialized)**: Smaller span (e.g., 4). * **Growth Factor**: Each level of management can manage a 4-fold increase of the level below (1 $\rightarrow$ 4 $\rightarrow$ 16 $\rightarrow$ 64).

Simple Structure Rules: * **Pros**: Simple, fast, flexible, inexpensive. * **Cons**: Difficult to maintain as the organization expands; depends too heavily on one person.

Bureaucracy Rules: * **Strengths**: High efficiency for routine tasks. * **Weaknesses**: Subunit conflict, dominance of unit goals. * **Characteristics**: Standardized, routine, formalized, functional, centralized, narrow span, follows chain of command.

Matrix Structure Rule: * **Definition**: Combination of functional and product. * **Trade-off**: Better specialization/coordination vs. higher costs and duplication of activities.

Team Structure Rule: * **Logic**: Removes horizontal and vertical barriers. * **Purpose**: Flattens the organization and minimizes status/rank issues.

Startup Theory Rule: * **Concept**: A startup is a state of "survival" and high risk. * **Application**: Large companies can adopt "startup" behavior (no committees, idea-driven) to maintain innovation.

Mechanistic vs. Organic Selection Rule: The selection of structure is based on the following three dimensions: 1. **Innovation**: Favors **Organic** (loose structure, low specialization, decentralized). 2. **Cost Minimization**: Favors **Mechanistic** (tight control, extensive specialization, high formalization, centralization). 3. **Imitation**: Favors a **Hybrid/Mix** (tight control over current activities, loose control/freedom for new experiments).

Dimensional Determinants of Structure: 1. **Size**: Large organizations (>2,000 people) tend toward higher specialization, more departmentalization, more vertical levels, and more rules. 2. **Technology**: Structure follows the method of turning inputs into outputs (e.g., routine production vs. custom innovation). 3. **Environment**: * **Static**: Supports stable structures. * **Dynamic**: Requires broader structures or strategic alliances to minimize uncertainty. * **Complexity/Scarcity**: Measured via a 3D model (Stable-Dynamic, Simple-Complex, Abundant-Scarce).

Tricky Logic & Traps

The "Bureaucracy" Euphemism: The word "Bureaucracy" has a modern, negative connotation (associated with "red tape"). However, the instructor notes that it was originally intended to mean **efficiency** and the streamlining of processes. Do not equate "Bureaucracy" automatically with "bad management"; it is a tool for efficiency in routine tasks.

The "Specialization Plateau": Students may think more specialization is always better. The "inverted U" means that once a worker is too specialized, productivity drops because of boredom and the inability to adapt or contribute outside their narrow scope.

The "Perfect Information" Trap: In a crisis, a "correct" decision is one based on enough information to act **now**, not the perfect decision that requires waiting for 100% of the data.

The "Scope of Formalization" Logic: High formalization isn't just about "rules"; it's about avoiding the cost of others making mistakes. If a process was figured out 10 years ago, it should be in the SOP so no one else has to "experiment" with it.

Boundary Spanning Synergy: External boundary spanning (e.g., with vendors) is rarely effective in a vacuum; it must be followed by internal boundary spanning (sharing that info with other departments) to be truly beneficial to the organization.

Span of Control vs. Task Nature: Don't assume a "large" span of control is always "bad." A large span is appropriate for routine, non-complex tasks (Production), while a small span is necessary for high-complexity, non-routine tasks (Design/Specialized).

The "Committees" Pitfall: In highly innovative environments (like Apple), the absence of committees is a strategic choice. Committees can slow down communication and decision-making; an "idea-driven" structure is faster.

The "Control vs. Autonomy" Balance: It is a mistake to think that giving employees freedom means "no" control. The example of Steve Jobs shows that while you "don't bother" with what they are doing daily, there is still a "bit of control" (final quality checks) required to ensure the product meets the standards.

The "Suitability" Rule: Neither Mechanistic nor Organic is "right" or "wrong" in absolute terms. The choice depends on the **fit** for the specific business model. **The ultimate goal is to balance these elements based on the specific environmental dimensions (scarcity, dynamism, and complexity).**

The "Span of Control" Research Gap: There is **no evidence** that supports a relationship between span of control and employee satisfaction or performance; it is often misinterpreted as a micromanagement issue by those who prefer more liberty.

The "Cultural Norms" Influence: Organizational structure choices are influenced by cultural norms. For example, cultures that prefer stability and have lower risk tolerance may prefer more formalization and structured hierarchies.

Exam Pointers

- **Structure vs. Strategy**: If an exam question asks how a company should structure itself based on a specific goal (like "customer satisfaction"), look for the link between the strategy and the corresponding organizational element (e.g., staffing/training).
- **Decision Timing**: When asked about the "best" time to make a decision in a crisis, the answer is "when enough information is available to act," not "when all information is available."
- **Standardization**: High formalization equals low employee discretion/freedom.
- **Efficiency/Effectiveness Distinction**: If a question asks about "doing things right" vs. "doing the right things," use the definitions of Efficiency (resource management) and Effectiveness (goal attainment).
- **The "Scale" Trigger**: If a prompt mentions a "Large" or "Multinational" organization, look for decentralization and high formalization. If it mentions a "Small" or "Family" business, look for centralization and lower formalization.
- **The "Bureaucracy" Nuance**: If a question asks about the **intent** of a bureaucracy, focus on "efficiency" and "standardization" of routine tasks.
- **The "Matrix" Trade-off**: If a question asks about the cost of a matrix structure, it is "duplication of activities and costs."
- **The "Standardization" Logic**: If a question asks why a company uses high formalization (SOPs), the answer is to ensure "correctness" and avoid redundant "trial and error."
- **The "Suitability" Check**: If a question asks which structure is "better," the answer is "the one that fits the specific business model and environment."

- **The "Startup" Context**: If a question describes a large company that remains highly innovative and fast, look for "startup" indicators: no committees, idea-driven leadership, and risk-taking.
- **Team Structure Indicators**: If the prompt mentions "flatter" organization, "no boundaries," or "reduced status," the answer points toward a Team Structure.
- **Ambiguity Check**: If a question asks why an organization would choose a **Mechanistic** structure, look for keywords like "cost minimization," "routine," or "standardization."
- **Innovation vs. Cost**: If the question emphasizes **Innovation**, the answer is **Organic**. If it emphasizes **Cost Minimization**, the answer is **Mechanistic**.
- **Environment Complexity**: If the environment is **Dynamic** or **Complex**, the organization needs a broader structure or strategic alliances to respond.

Sources

- MBAZG511 - Lecture 12.pptx
- MPO Session 9-13 2026.pdf
- MBAZG511 Lecture 13.pptx
- MBAZG511_Managing People and Organizations - Lectures 10-16 (2).pdf
- MBAZG511_Managing People and Organizations - Lectures 10-16.pdf